CHAPTER 37 Consumer Commissions

The Consumer Protection Act, 2019 has repealed and replaced the earlier Consumer Protection Act, 1986. Like the old Act, the new Act also provides for the establishment of a three-tier consumer dispute redressal machinery at the District, State and National levels. These are called as the District Consumer Disputes Redressal Commission, the State Consumer Disputes Redressal Commission, and the National Consumer Disputes Redressal Commission. In brief, they are known as the District Commission, the State Commission, and the National Commission respectively.

The three-level hierarchy of the consumer commissions provides an alternative dispute resolution mechanism exclusively for consumers. These are quasi-judicial bodies. They are also popularly known as consumer forums or consumer courts.

The District Commission is established in each district of the state by the state government. However, the state government may also establish more than one District Commission in a district.

The State Commission is established in the state by the state government. It shall ordinarily function at the state capital and perform its functions at such other places as the state government may notify. This is done by the state government in consultation with the State Commission. Further, the state government may also establish regional branches of the State Commission.

The National Commission is established by the central government. It shall ordinarily function at the national capital region and perform its functions at such other places as the central government may notify. This is done by the central government in consultation with the National Commission. Further, the central government may also establish regional branches of the National Commission.

At present, there are 678 District Commissions and 35 State Commissions with the National Commission at the apex. The National Commission was constituted in 1988[1].

NATIONAL CONSUMER DISPUTES REDRESSAL COMMISSION

1. Composition

The National Commission shall consist of a President and not less than four or not more than such number of members as may be prescribed. Accordingly, in 2020, the central government has prescribed that the National Commission shall consist of a President and not less than four or not more than eleven members. Further, out of these eleven members, at least one member shall be a woman[2].

The central government may make rules to provide for qualifications, appointment, salaries and allowances, resignation, removal and other conditions of service of the President and members of the National Commission.

The President and members of the National Commission are appointed by the central government on the recommendations of a search-cum-selection committee chaired by the Chief Justice of India or a Judge of Supreme Court, who is nominated by the Chief Justice of India. But, a person who has not completed the age of 50 years is not eligible for appointment as a President or member. They hold office for a term of 4 years or until they attain the age of 70 years in case of President and 67 years in case of members, whichever is earlier[2a].